the enforcement function. For these reasons, while monetary policy is easy, financial regulation is hard. [5]

In the international experience, regulators fuse legislative and executive functions. The parliamentary law that establishes a regulator carefully defines the spots where the regulator has the authority to write law in the form of 'regulations'. In addition, regulators have executive functions of licensing, investigation and prosecution.

In the concept of liberal democracy, regulators are in an unusual situation in that *law* is written by officials. There is a lack of democratic legitimacy when unelected officials are given the power to write law. Similarly, regulators exercise state power, in licensing and enforcement, without the oversight of elected representatives. Many elements of institutional design are required in order to address the dangers associated with this 'democratic deficit'.

The first element of this is governance of the organization by a board which has a majority of independent directors. The officials who run the organization must be accountable to this board, where a majority of persons are external experts and stakeholders. The board must control the internal processes, organization diagram and budget of the regulator. With a majority of independent members, the board should police the management of the regulator, watching for violations of the rule of law.

For the purpose of writing law (i.e., regulations), a formal process must be followed. Regulation-making projects must emanate from a decision of the board, taken under conditions of transparency (release of board agenda papers and minutes).

Once a regulation-making project is initiated, the staff must be required to build a documentation packet, articulating the problem that is sought to be solved, demonstrating that it is a market failure, and demonstrating that the proposed intervention is the least intrusive alternative available. This documentation packet must be put into public consultation, in order to solicit the views of affected persons and intellectuals. This packet, and the responses from the public, should lead up to a discussion, refinement and